

LATVIA 2013

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

The tax and fees system in Latvia consists of state taxes, state fees, local government fees, directly applicable taxes and other obligatory payments set in European Union regulatory enactments and social insurance contributions.

There exists a three-tier system of social benefits in Latvia:

- 1) state social insurance benefits which are earnings related and based on social insurance contributions;
- 2) state social benefits which are flat-rated and with universal coverage of population;
- 3) means-tested and non means-tested benefits provided by local governments within the municipal social assistance system.

State social insurance benefits guarantee a person a certain substitute for income in the event of social risk and are provided only for socially insured people. Individuals are insured and social insurance contribution payments are made in respect of those social risks that may actually affect them. Social insurance contributions guarantee security to person in case of old-age, death, unemployment, disability, maternity (paternity), child care (parental benefit), sickness, accidents at work and occupational diseases.

State social benefits provide universal state support in the form of cash payments for certain groups of the population in cases related to the arising of additional expenditures, in which the social insurance system does not provide for security (for example, family benefit, child care benefit and child birth allowance, state social security benefit, that provides security in case of loss a parent etc.).

Housing costs are covered through a separate means-tested scheme in terms of social assistance system. There is a social assistance scheme which guarantees a minimum income for every inhabitant of the country, as also provides other means-tested benefits in special cases as final safety net.

As concerns social benefits, only pensions (old-age pension, long service pension, disability pension, survivor's pension) and sickness benefit are taxable.

1.1. Average Worker wage (AW)

The 2013 AW earnings level is LVL **6536.16**.

2. Unemployment insurance

The operation of the unemployment insurance system in Latvia is regulated by the **Law on Unemployment Insurance**, adopted by the Saeima on 25 November 1999 (became effective on 1 January 2000), - which was elaborated on the basis of previous Law on Compulsory Social Insurance against Unemployment, enacted by the Saeima on 5 October 1995 (in force since 1 January 1997) – for improvement of the state social insurance scheme relating to unemployment.

The purposes of the Law are as follows:

- to ensure income substitution in the event of unemployment;
- to ensure the amount of the unemployment benefit in proportion to the individual contribution wage, the insurance period and the length of the time during which the benefit is received;
- to stimulate the unemployed person to seek job actively, to improve existing qualification and to undergo retraining.

The Law on Unemployment Insurance provides passive unemployment insurance services (unemployment benefit in cash; funeral benefit in case of the demise of the unemployed). The granting and payment of unemployment benefits and funeral benefits ensures the State Social Insurance Agency. Passive unemployment insurance services determined by the Law on Unemployment Insurance are financed by the state social insurance special employment budget. Active employment activities are funded by Special Employment Budget set forth under the *Support for Unemployed Persons and Persons Seeking Employment Law*, however within the amount not exceeding 10% of the total Special Employment Budget determined by the *Law On Annual Budget*, which determines a particular amount of Special Employment Budget for financing of active employment activities.

2.1 Conditions for receipt

The rights to unemployment benefit have persons who obtain an unemployed status and who also have unemployment insurance.

Persons who are not citizens or non-citizens of Latvia, who are not permanent residents of Latvia or who have not received a temporary residence permit and also are not married persons with Latvian citizens, non-citizens or permanent residents of Latvia have rights to get unemployment benefit in accordance with the *Council Regulation (EEC) No 883/2004 of the European Parliament and of the Council of 29 April 2004 on the coordination of social security systems*.

Eligibility for unemployment benefit doesn't depend on whether the job loss is "voluntary" or not. But voluntarily dismissal affects the granting procedure of unemployment benefit. If a person has become an unemployed after the termination of work or service on the basis of his or her notice (voluntary) or due to a violation, the unemployment benefit shall be granted from the day when the unemployed person has submitted all the documents certifying the right to the benefit, but not earlier than two months after the day when the status of an unemployed person was obtained. Two months waiting period has been introduced in order to motivate every person to retain his (her) workplace and does not violate labour contract and working regulations.

In order to become (and remain) entitled to the unemployment benefit for person is necessary to obtain (and retain) an unemployed status. A person has the rights to unemployment status if the person is seeking employment. In accordance with the *Support for Unemployed Persons and Persons Seeking Employment Law* unemployed persons have a duty to:

- actively seek employment independently and with the assistance of the State Employment Agency and after the acquisition of unemployed person status provide without delay proposals to the State Employment Agency for the development of an individual employment seeking plan;
- on the day specified in the individual employment seeking plan attend the State Employment Agency and present the documents specified in regulatory enactments;
- attend the State Employment Agency within a time period of three days from the day of receipt of an invitation;
- participate in measures provided for in the individual employment seeking plan;

2.1.1 Employment conditions

The rights to unemployment benefit have persons who obtain an unemployed status in accordance with the *Support for Unemployed Persons and Persons Seeking Employment Law*.

A person has the rights to unemployment status after registration with the State Employment Agency in conformity with the principal place of residence if the person:

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages*

(www.oecd.org/els/social/workincentives)

- 1) does not work (is not considered to be an employee or a self-employed person) in accordance with the Law On State Social Insurance);
- 2) is seeking employment;
- 3) is able to work and ready to enter into labour relations immediately;
- 4) has reached 15 years of age;
- 5) has not reached the age necessary for the granting of the State old age pension or State old age pension is not granted prematurely;
- 6) is not acquiring an education by being present at a general secondary or vocational secondary education institution, excluding evening school;
- 7) does not perform commercial activities or his or her commercial activities have been suspended in accordance with regulatory enactments; and
- 8) is not completely State supported.

The person for whom invalidity has been determined shall also be considered to be able to work except in cases where the Medical Commission for Expert-Examination of Health and Working Ability has determined a loss of ability to work of 100 per cent.

If a person on the day of registration has a temporary illness, the State Employment Agency shall grant such person unemployed person status after the end of the temporary illness.

The basis for the loss of unemployment status shall be:

- 1) the acquisition of status of the employee or self-employed person for an indefinite period of time or for a time period longer than two months in accordance with the Law On State Social Insurance, except engaging in the active employment measures;
- 2) reaching the age necessary for the granting of the State old age pension, receipt of a service pension or State special pension, prematurely granting of State old age pension;
- 3) coming under complete State support;
- 4) commencing the acquisition of education by being present at a general secondary or vocational secondary education institution, excluding evening school;
- 5) refusal of an appropriate offer of employment twice;
- 6) failure to fulfil the duties of an unemployed person without a justified reason;
- 7) provision of false information in order to acquire and retain unemployment status;
- 8) moving for permanent residence outside the European Union if not specified otherwise in international agreements binding upon Latvia;
- 9) the loss of work ability of 100 per cent;
- 10) renewal of employment through a court judgment;
- 11) death of the unemployed person.
- 12) waiver of unemployed person status by submitting a relevant notification to the State Employment Agency.

Unemployment benefit is granted as of the day the unemployed filed all the documents, showing the right for the benefit (including statement from the State Employment Agency about granting of unemployment status).

The unemployment benefit for a person, who has become unemployed after terminating employment voluntarily or due to a violation, is to be granted not earlier than two months as of the day of obtaining of the unemployed status. The main purpose of this was to prevent voluntarily dismissals of employed persons by the prolongation of the period after which unemployment benefit is granted.

Unemployed person loses his/her entitlement to unemployment insurance benefit, if he/she starts working again, even if it is only for an hour per week.

However, according to the Law On Unemployment Insurance the disbursement of unemployment benefit shall be suspended if an unemployed person obtains the status of an employee in accordance with the Law On State Social Insurance for a time period of up to two months (inclusive). So if person (after getting the unemployment benefit) works less than two months, the unemployment insurance period is prolonged for respective period.

2.1.2 Contribution conditions

Unemployment benefit is granted to an unemployed person who has registered as unemployed, whose length of period of insurance is not less than one year and who can prove that mandatory social insurance contributions for the case of unemployment are made on his/her behalf within a period of not less than 9 months within the last preceding 12 months before obtaining of the status of unemployed.

If within the last preceding 12 months before obtaining of the status of unemployed the contributions for the case of unemployment are made on behalf of the unemployed for the period of less than 9 months, and also for the period after obtaining of the status of unemployed, then unemployment benefits are determined on the basis of the contributions made during the preceding 12 months before the day when unemployment benefit is requested.

If within a period of the last preceding 12 months before obtaining of the status of unemployed contributions for the case of unemployment are not made on behalf of unemployed, or are made for the period of less than 9 months, the unemployed is entitled to the unemployment benefits provided, in the respective period, the unemployed was within the category of the following persons:

- 1) regained work ability after disability;
- 2) caretaker for the minor until the age of 16.

The amount of social insurance contributions covered unemployment insurance is 1,48% on the total social insurance contributions payments. The total rate of compulsory social insurance contribution if the employee is insured for all social insurance kinds is 35,09%.

Insurance period, entitling for the unemployment benefits is comprised of the following:

- 1) the period for which the contributions for the case of unemployment are made in accordance with the Law On State Social Insurance (the Law On State Social Insurance came into force on 1 January, 1998);
- 2) the periods of work or equal to work accrued until 1 January, 1991;
- 3) the periods of work accrued from 1 January, 1991 until 1 January, 1996, for which the social tax payments are made;
- 4) the periods for which the social tax payments are made for the period from 1 January, 1996 until 31 December, 1997 made in accordance with the law On Social Tax.

2.2 Calculation of benefit amount

For the unemployed, who until the day of obtaining of the status of the unemployed was an employee, the benefit amount is determined in proportion to the insurance period, and his/her income, from which unemployment contributions are made in accordance with the Law On State Social Insurance:

- 1) with an insurance period from one to nine years (inclusive): within the amount of 50% from average insurance contribution wage;
- 2) with an insurance period from ten to nineteen years (inclusive): within the amount of 55% from average insurance contribution wage;
- 3) with an insurance period from twenty to twenty-nine years (inclusive): within the amount of 60% from average insurance contribution wage;
- 4) with an insurance period above thirty years (inclusive): within the amount of 65% from average insurance contribution wage.

For the unemployed on behalf of which before the day of obtaining of the status of the unemployed the contributions for the case of unemployment are made from the state basic budget, and for the unemployed regained work ability after disability or which has been caretaker for the minor until the age of 16, the benefit is determined within the amount of 60% of the state social security benefit double amount being in force as of the day of requesting an unemployment benefit (the actual amount of state social security benefit is 45 LVL per month).

For an unemployed person for whom the requester of the benefit himself or herself and his or her employer had made unemployment insurance contributions for a part of the contributions period prior to the day when the status of an unemployed person was obtained, but for the other part – the State, the amount of the unemployment benefits to be granted shall be determined in proportion to length of period of insurance and depending on the average wage subject to insurance contributions.

If an unemployed person at the end of the contributions period did not have the employee status and before the day of obtaining of the status of the unemployed the contributions for the case of unemployment are made from the state special social insurance budget, the amount of the unemployment benefits to be granted shall be determined:

- 1) in proportion to length of period of insurance and depending on the average wage subject to insurance contributions, if insurance contributions were made from sickness or maternity benefit;
- 2) within the amount of 60 % of the state social security benefit double amount being in force as of the day of requesting an unemployment benefit, if insurance contributions were made from 50 LVL of parental benefit.

For an unemployed person for whom both, the requester of the benefit himself or herself and his or her employer and the state, had concurrently made unemployment insurance contributions prior to the day when the status of an unemployed person was obtained, the unemployment benefits shall be granted in proportion to length of period of insurance and depending on the average wage subject to insurance contributions.

The maximum unemployment benefit payment period is 9 months.

The unemployment benefit shall be disbursed in the following amount depending on duration of the unemployment:

- first 3 months of unemployment: 100% of the set benefit,
- from 4-6 months of unemployment: 75% of the set benefit,
- from 7-9 months of unemployment: 50% of the set benefit.

The unemployment benefit decreases over time in order to motivate every unemployed person and especially those who receive low benefit amounts to return to the labour market a.s.a.p.

The average insurance contributions wage (incomes from which state social insurance contributions are made) for determining unemployment benefit is calculated from the person's insurance contributions wage for a 12 month period, such period ending two calendar months prior to the month in which the person became unemployed.

In order to prevent the payment of unemployment benefits with unreasonably high amounts in accordance with amendments adopted in 22 December 2009 to the Regulations of the Cabinet of Ministers No 866 "Procedures for Calculation of Average Wage Subject to Insurance Contributions for Determination of Amount of Unemployment Benefit and Procedures for Granting, Calculation and Payment of Unemployment Benefit and Funeral Benefit" 21/10/2008, for person which became unemployed after 1st January 2010 and whose insurance contributions wage within relevant 12 months period has different amounts, in the calculation period of average insurance contributions wage doesn't include two months when the person had the highest and the lowest contributions wage.

In accordance with amendments adopted in the Saeima on 1st December 2009 and amendments adopted in the Saeima on 14 April 2011 to the law "On state benefits payment during period from the year 2009 till the year 2014" on a temporary basis (from the 1st January 2010 till the 31st December 2014) unemployed person granted full sum of unemployment benefit with a precondition that the benefit's amount per day is lower or equal to 11,51 LVL. If the amount of the benefit per day is higher than 11,51 LVL, the person will be granted full sum of that part of the benefit, which does not exceed 11,51 LVL per day and the part of the benefit exceeding LVL 11.51 per day is granted at half rate.

In the period from 1 of January to 1 of July of 2013 the average amount of unemployment benefit was 133,67 LVL.

The amount of an unemployment allowance during training shall be **LVL 70** for each calendar month - an allowance for an incomplete calendar month of the training shall be calculated in proportion to the number of calendar days during the training. The amount shall be calculated and disbursed by the educational establishment carrying out the training on the basis of the agreement of the State Employment Agency and the educational establishment. The unemployment allowance shall be disbursed once in a calendar month during training. The allowance shall also be disbursed for the time period, when the training is not attended due to a justifiable reason and the unemployed person has submitted a document approving it. The State Employment Agency shall, on the basis of the account submitted by the educational establishment, transfer the funds necessary for the disbursement of allowances to the educational establishment.

2.2.1 *Calculation of gross benefit*

Unemployment benefit is earnings related benefit which amount depends from persons' social insurance contributions wage. Average amount of unemployment benefit by length of the insurance period was:

Insurance Record	% of average social insurance contributions wage	average amount of benefit in LVL (in the period from 1 January to 1 July, 2013)
insurance record from 1 to 9 years	50%	128,84
insurance record from 10 to 19 years	55%	151,61
insurance record from 20 to 29 years	60%	144,68
Insurance record above 30 years	65%	159,08

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

No disregards.

2.3 *Tax treatment of benefit and interaction with other benefits*

Non-taxable.

2.4 *Benefit duration and waiting periods*

Duration of payment of unemployment benefit is 9 months.

If within the time period of 12 months a person is being repeatedly granted unemployment benefits, it shall be granted, taking into account the duration (in calendar days) of the receipt of the preceding unemployment benefits granted and percentage differentiation of amount in such period.

The disbursement of unemployment benefit shall be suspended if an unemployed person:

- enters into a contract of employment regarding paid temporary performance of public works or enters into a contract of employment regarding participation in other active employment measures specified in the Support for Unemployed Persons and Persons Seeking Employment Law;
- obtains the status of an employee in accordance with the Law On State Social Insurance for a time period of up to two months (inclusive);
- receives the sickness benefit in accordance with the Law On Maternity and Sickness Insurance’.

The time period when the disbursement of unemployment benefits is suspended shall not be included in the time period for what benefit is granted.

The disbursement of unemployment benefits shall be discontinued if a person loses the status of an unemployed person, the State Agency of Social Insurance states, that person received unemployment benefit unlawfully, or if person was died.

In most cases the unemployment benefit is repeatedly granted, if disbursement of preceding unemployment benefit had been discontinued and a person lost the status of an unemployed person due to temporary work (obtained the employee status for a time period more than two months) and after loss of temporary work has reapplied for unemployment benefit.

After expiration of the disbursement term of unemployment benefit a person can pretend on next unemployment benefit only after unemployment insurance contributions have been made for not less than 9 months in time period of 12 months.

There is no waiting period for unemployment benefit. Unemployment benefits shall be granted from the day when an unemployed person has submitted all the documents, which certify the right to the benefit. Only to a person who has become an unemployed person after the termination of work or service on the basis of his or her notice or due to a violation benefits shall be granted not earlier than two months after the day when the status of an unemployed person was obtained.

2.5 *Treatment of particular groups*

None.

- 2.5.1 *Young persons*
- 2.5.2 *Older workers*
- 2.5.3 *Others if applicable*

3. Unemployment assistance

None

3.1 Conditions for receipt

- 3.1.1 *Employment conditions*
- 3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

- 3.2.1 *Calculation of gross benefit*
- 3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

- 3.5.1 *Young persons*
- 3.5.2 *Older workers*
- 3.5.3 *Others if applicable*

4. Social assistance

Social assistance involves residual social benefits which act as a final safety net. Social assistance is financed from local municipalities' budgets (except of crises period from 2009 to 2012 when state co-funding was provided to two benefits) and is granted to households or separately living persons, whose place of residence is situated in municipalities' territory. According to Law there are 4 main types of social assistance benefits. Each has its own conditions of granting.

Types of Social Assistance Benefits:

- 1) Benefit for ensuring guaranteed minimum income level (GMI benefit);
- 2) Housing benefit;
- 3) Benefit in an emergency situation;
- 4) Other benefits defined by municipalities.

4.1 ***Conditions for receipt***

Social assistance to a client shall be provided on the basis of an evaluation of his or her material resources – income and property, individually providing for the participation of each client in conformity with the Law on Social Security and Law on Social Services and Social Assistance. Evaluating resources of a client to assess the eligibility for social assistance, the following benefits are not considered as income: additional payment to the state family benefit for a disabled child, disabled child care benefit, benefit for disabled who are in need of care, benefit for assistant service use, benefit to compensate expenditures of transport for disabled people who have restricted movement, benefit for child with coeliac disease, child birth benefit, funeral benefit, and the social assistance benefits provided by local municipalities.

In accordance with the Law on Social Services and Social Assistance, a person at working age, who wants to receive a social assistance benefit, except a one-time allowance in emergency situation, and is not employed (is not considered as an employee or self-employed person in accordance with the Law On State Social Insurance), shall register with the State Employment Agency as unemployed person, except a case when the person is:

- 1) a recipient of disability pension, old-age pension or State social security benefit;
- 2) a woman on maternity leave, one of a child's parent or other person during a child care period;
- 3) one of a disabled child's parents, if the child does not receive appropriate care services;
- 4) a person at 15 years of age who is acquiring full-time education in general secondary or vocational secondary education institution or he or she is a full-time student in an institution of higher education.

Subsequent to the assessment of income and other material resources of a person and his or her family members, a local government social service office shall decide on the granting of a social assistance benefit to the person who has claimed such benefit.

4.1.1. *GMI benefit*

The GMI benefit shall be granted and paid to a household or separately living person which income level is lower than GMI level, set by Cabinet of Ministers. GMI benefit is paid on the basis of net income and assets test (means test). GMI benefit can be paid in cash or in kind.

Adult claimants of GMI benefit have an obligation to fulfil the duties of participation prescribed in the Law On Social Security and Law on Social Services and Social Assistance.

GMI benefit reception doesn't affect the right of a person to claim other social assistance benefits.

4.1.2. *Housing benefit*

According to the Law on Social Services and Social Assistance housing benefit is defined as one of the mandatory social assistance benefits shall be paid by local government. The amount and payment procedures, as well as persons who are entitled to this allowance have to be fixed by local municipality's regulation. Housing benefit can be paid in cash or in kind.

4.1.3. *Benefit in an emergency situation*

The local government grants without means testing to the person (family) a benefit in an emergency situation if, due to a natural disaster or unforeseen circumstances he or she is not able to satisfy his or her basic needs.

The benefit in an emergency situation can be paid in cash or in kind.

4.1.4 Other benefits

Local government is entitled to disburse other benefits with the aim to maintain the basic needs stated by Law on Social Services and Social Assistance, for example, health care, mandatory education etc. The amount and payment procedures, as well as persons who are entitled to this allowance have to be fixed. Established by local municipality's regulation. Other benefits can be paid in cash or in kind. Local government is entitled to disburse other benefits only if the justified demand for GMI benefits has been satisfied.

Changes from 01.12.2009

Municipalities have an obligation of granting other benefits on the basis of means-test and for aims related to people's basic needs.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

4.2.1.1. GMI

GMI benefit is calculated as a difference between GMI level (35 LVL per month) and households or separately living person's income. Calculation of the benefit does not involve application of the equivalence scale – the calculated GMI benefit is equal to all adults and children in the household.

Amount of GMI benefit = GMI x m - household income

GMI – GMI level

m – number of persons in household

The local municipalities are eligible to determine the level of GMI for varied social groups, for example: children, persons receiving old-age pension or disability pension but not lower than 35 LVL and not exceeding 90LVL per month. For calculations, rates for Riga are used (see section 4.5.1. below).

Amount of GMI benefit = (GMI¹ x n¹ + GMI² x n² + GMI³ x n³ - household income

GMI¹ – GMI level for adults in the household

n¹ - number of adults in the household

GMI² – GMI level for children or another social group

n² - number of children or another social group in the household

GMI³ – GMI level for old-age pension receivers or another social group

n³ - number of old-age pension receivers or another social groups in the household

Maximum amount GMI benefit per month:

For separately living person	For Household
35 LVL – 90 LVL (49.80 EUR – 128.06 EUR)	Since December, 2009 there is not set a limit for the maximum amount for household

In cases of refusing to fulfill duties of participation a total amount of GMI benefit reduces by part of adult who has refused.

4.2.1.2. *Housing benefit*

Established by local municipality's regulation (see Section 5).

4.2.1.3 *Benefit in an emergency situation*

According to type of emergency situation and depends on decision of local municipality.

4.2.1.4. *Other benefits*

Established by local municipality's regulation.

4.2.1.4 *Irregular additional payments*

4.2.1.5 *Obligations of family members*

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

See Section 4.1

4.3 ***Tax treatment of benefit and interaction with other benefits***

Non-taxable.

4.4 ***Benefit duration and waiting periods***

4.4.1. *GMI benefit*

Benefit is granted for the period a family (person) has been assigned a needy family (person) status. Needy family (person) status is assigned for the period of 3 to 6 months. After this period the situation of family (person) can be re-evaluated and needy status can be granted repeatedly. Also, if during the period when family (person) has obtained a needy family (person) status there have taken place changes in the family structure, income level or social status, a social service office has to make evaluation repeatedly. The decision on the assignment of needy status and GMI benefit granting shall be taken by the social service office within one month.

Needy family status and GMI benefit has been granted to family for a period of one month, if family's income level complies with the level defined by legislation, but other criteria doesn't complies.

4.4.2. *Housing benefit*

Established by local municipality's regulation.

4.4.3. *Benefit in an emergency situation*

Established by local municipality's regulation.

4.4.4. *Other benefits*

Established by local municipality's regulation.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

Since July 2009 local municipalities are eligible to determine supplement to GMI benefit for families with children. The GMI level for children set by Riga City Council is 45 LVL per month.

Since January, 2013 municipalities are eligible to determine differentiated level of GMI for varied social groups.

4.5.2 *Older workers*

Since January, 2013 municipalities are eligible to determine differentiated level of GMI for varied social groups.

4.5.3 *Others if applicable*

Since January, 2013 municipalities are eligible to determine differentiated level of GMI for varied social groups.

5. *Housing benefits for rented accommodation*

The autonomous functions of local governments include provision of assistance to residents in resolving housing related issues. Local municipalities are entitled to provide housing benefit to ensure material support for families or separately living persons with low income to pay rent and public utilities,. According to Law on Social Services and Social Assistance a housing benefit is the second mandatory benefit that shall be paid to a person or a family of the relevant local municipality. Housing benefit is paid from the municipal budget.

Housing costs and rules defining whether a family or a person is eligible to receive the benefit vary by municipality. Housing benefit can be calculated in the following way: the first way - when the housing cost allocation and expenses have been defined by municipality, or the second - using a fixed sum of benefit for person or household. In some municipalities, e.g., the capital Riga, benefit is calculated in both ways. In case of housing debts tripartite agreement is concluded among client, dwelling-house manager and Social service of Riga, and municipality has a right to grant an increased amount of housing benefit to state pension recipients, recipients of state social security benefit and families with under-aged children.

Housing benefits are granted and paid by Social service of municipality at the place of residence declared by the claimant and that is the place where claimant is actually living. The rights to housing benefits are entitled to households or separately living persons (assistance claimant) being unable to meet basic needs. According to the Law on Social Services and Social Assistance, dwelling is one of the basic needs.

5.1 *Conditions for receipt*

Conditions of receipt are established by local municipality's regulation. Housing benefit is income-tested benefit.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

Housing benefit in Riga municipality is estimated as a difference between the GMI level set by Riga municipality (GMI*) for assistance claimant and the amount of consumption standards of living space and public utility service and total income of the assistance claimant:

$$P = \text{GMI}^* + K - I$$

P – amount of housing benefit;

GMI* – level of guaranteed minimum income set by Riga municipality for the assistance claimant;

K – consumption standards of living space and public utility service (limit for actual costs);

I – income of assistance claimants (including the benefit received in the respective month to ensure the GMI level). The income of claimant must not exceed 250 LVL (355.72 EUR) per month for separately living age or disability pensioner and 200 LVL (284.57 EUR) per month per person in household.

Housing benefit is calculated and paid each month. In 2013, the average housing benefit paid to person was at the amount of 8.63 LVL (12.28 EUR) per month or 103.60 LVL (147.41 EUR) in a year (in 2012, respectively 8.46 LVL (12.04 EUR) per month or 101.52 LVL (144.45 EUR)).

The calculation of maximum housing costs is complicated and depends on the different types of dwellings.

In order to calculate the housing benefit the results of Household Budget Survey (see Table below) as the actual housing costs are used and amount of 20% of Average Worker wage (AW) – as the limit (consumption standards) for the actual housing costs.

Composition of consumption expenditures by number of persons, 2012

(average per household member per month, LVL)

	<i>Households</i>				
	<i>1 person</i>	<i>2 persons</i>	<i>3 persons</i>	<i>4 persons</i>	<i>5 and more persons</i>
Consumption expenditure - TOTAL	267.93	230.65	197.28	165.23	133.79
Housing, water, electricity, gas and other fuels	59.66	39.31	30.7	24.86	18.76

(Data source: Central Statistical Bureau)

For instance, for a single person under Social Assistance (SA), the limit of actual housing costs are LVL 715.92 (59.66*12) and that are smaller than assumed housing costs – 20% of the AW (LVL 1307.23 – data of 2013). The costs above 715.92 are ignored when the housing benefit is calculated.

5.2.2 Income and earnings disregards

It is possible to receive the housing benefit together with other social assistance benefits.

The kinds of income excluded from calculation of housing benefit - see Section 4.1

The assistance claimant must complete the subsistence declaration where household income and housing expenditures are indicated. Able-bodied benefit claimants must declare their income every 3 months while families without able-bodied persons must do it every 6 months.

In Riga, the assistance ability of single breadwinners is not taken into account. When estimating the assistance amount only net income is taken into account. The income from which the income tax and state social insurance contributions are paid is declared only after payment of the income tax and social insurance contributions.

The following kinds of income are declared in the assistance claimant's subsistence declaration:

- 1) income from paid employment, pensions, benefits, stipends, means of subsistence, student's loan, income from national support programs (in cash) - the last three months;
- 2) income from economic activity, royalties and fees, rent (lease) and confiscation of real property, rent and confiscation of movables - the last 12 months;
- 3) donations, legacies, dividends and winnings - the last 12 months;
- 4) financial support of a spouse living separately - the last 12 months;
- 5) other income – last 12 months.

5.2.3 *Costs eligible for housing benefits*

5.3 ***Tax treatment of benefit and interaction with other benefits***

Benefits are not liable to a tax.

5.4 ***Treatment of particular groups***

5.4.1 *Young persons*

GMI level set by Riga City Council that influence the amount of housing benefit – for children – 45 LVL per month.

5.4.2 *Older workers*

None.

5.4.3 *Others if applicable*

GMI levels set by Riga City Council that influence the amount of housing benefit - for disability, old-age pensioners and social security benefit receivers – 90 LVL per month, for giving age persons – 40 LVL.

6. **Family benefits**

6.1 ***Conditions for receipt***

Family state benefit shall be granted to a person (parents or care-giver) that is raising a child, which is at least one year old and not older than 15; or, if older than 15, attends general or professional educational school and is not married. In such a case the mentioned benefit shall be granted for a period

while a child attends the corresponding educational establishment, but only until the date when the mentioned person reaches 19 years of age or marries. If a child under the custody reaches 18 years of age, the benefit shall be granted to the child himself/herself due to reaching a lawful age. The benefit shall not be granted for a child that, in accordance with the number of places financed by state or municipality, is admitted to professional educational programs and receives a scholarship.

Till 2nd May 2010 the family state benefit was provided for all children from the day of birth. In accordance with amendments adopted by the Saeima in 16 June 2009 to the Law on State Social Benefits”, for children born after **2nd May 2010** the benefit is allocated only after child reaches age of one year.

Currently the system of family benefit regards persons as dependent children no longer than till the age of 19 years. In the case of lone parent (see section 9.1.) the payment of state social security benefit shall be carried on if after reaching the lawful age, a person attends general or professional educational establishments and is not older than 20 or studies at day department (full time education) of any higher educational establishment and is not older than 24.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

The amount of family state benefit is 8 LVL per month.

From the **1st July 2009** on a temporary basis in the period from 1 July 2009 to 31 December 2014 (in accordance with the law “On state benefits payment during period from the year 2009 till the year 2014” adopted in Saeima on the 16th June 2009 with amendments) the family state benefit was reduced to the amount of the flat sum of 8 LVL per month per each children, without regarding the differentiation of benefit’s amount in dependence from the number of children in a family. (until July 2009 the benefit ranged from 8 LVL per month for the first child in family to 14,40 LVL for fourth and further children).

Within family benefits there are following supplementary benefits available for parents or care-giver (guardian):

- *Supplement to family state benefit for disabled child.* If family state benefit is granted for a handicapped child under 18, an additional payment at the amount of 75 LVL per month shall be granted additionally to the mentioned benefit. A person that raises a disabled child keeps the right to receive this supplement regardless the payment of a family state benefit until the child reaches 18.
- *Child birth benefit.* Child birth benefit is granted to one of the child’s parents or to a person who took a guardianship of a child until one year of age. Right to receive the child birth benefit is entitled of 8th day after the child has born or since day when guardianship is established. The amount of child birth benefit is 296 LVL for every born child (one-off payment). Before **4th April 2010**, parents received a one-off childbirth benefit of 296 LVL with additional payment at the amount of 100 LVL for the first child birth, 150 LVL for the second child birth and 200LVL for the third child and the next children birth. Additional payments for the birth grant were abolished and for all children born after 4th April 2010 child birth benefit shall be paid at the amount of 296 LVL (without additional payment).
- *Care of disabled child benefit,* which is granted to a person who cares for a child for whom the State Medical Commission for Expert-Examinations of Health and Working Ability has specified invalidity and issued an opinion regarding the necessity for special care in relation to serious physical and functional disorders. The payment of care of disabled child benefits shall be

terminated when the time period ends for which the invalidity and the necessity for special care have been specified, or when the child reaches the age of 18 years. The amount of the care of disabled child benefit is 150 LVL per month. The state also covers social insurance contribution payments on behalf of persons receiving disabled child care benefit amounting to 20% from 50 LVL.

6.2.1.1 *Irregular additional payments*

Lump-sum benefit in case of three children birth

If 3 children are born, the lump-sum benefit is granted according to the order of the Cabinet of Ministers. The benefit is granted to family additionally to other benefits as a lump sum benefit at the amount of LVL 6000. The income tax is withheld from the benefit at the amount of 24%. The situation is unusual – an amount of granted lump sum benefit is the same as an amount of paid benefit (the benefit granted by government is after tax payments). The state withholds the tax and collects that tax deductions. In that case this lump sum benefit can't be included in the list of taxable benefits.

6.2.2 *Income and earnings disregards*

No disregards.

6.3 *Tax treatment of benefit and interaction with other benefits*

Non-taxable.

6.4 *Treatment of particular groups*

No special rules.

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable*

7. Childcare for pre-school children

Full-time childcare

In compliance with the Law on Education pre-school establishments carry out a pre-school education programme that is the first phase of education.

Pre-school establishments that are registered in the Register of Education Institutions of the Republic of Latvia and have been granted a licence for their pre-school education programmes implement pre-school education. As of 1 September 2013, 79191 children attended local government's and private pre-school institutions.

Number of children in the pre-school childcare institutions by year of birth (on the 1st September, 2013; general schools, special schools, interest centres are not included)										
	TOTAL	2013	2012	2011	2010	2009	2008	2007	2006	2005 and earlier
Number of children	79191	11	2396	10745	14352	16217	17856	16359	1247	8

(Data source: Ministry of Education and Science)

Number of children in the pre-school childcare institutions by year of birth and type of group (on the 1st September, 2013; general schools, special schools, interest centres are not included)				
	TOTAL	of which born in		
		2011 and later	2009 and 2010	2008 and earlier
Number of children	79191	13152	30569	35470
of which groups with length of staying per day				
< 7 hours	255	73	80	102
7 - 11,9 hours	33210	6252	12510	14448
12 - 14 hours	43879	6603	17359	19917
24 hours	1847	224	620	1003
Of total				
Boarding-school type	287	75	101	111
Sanatorium type	0	0	0	0
Groups for children with special health care	4467	104	1371	2992
Others	74437	12973	29097	32367

(Data source: Ministry of Education and Science)

Children up to 7 years of age acquire pre-school education programme. Depending on the state of health and psychological preparedness of children and according to the parents' wishes and decision of the family doctor, the mastery of the pre-school education programme may be prolonged or shortened by one year.

The preparation of five-year and six-year old children for the acquisition of primary education is compulsory.

7.1 Out-of-pocket childcare fees paid by parents

The payments that are made by parents for the acquisition of pre-school education are the following:

- 1) In the general mixed-type pre-school establishments parents pay for catering of children but all other expenses (maintenance of buildings, administrative expenses, salaries of the administrative staff and teachers except the salaries of teachers involved in the preparation of 5 and 6 year old children for school) are covered by local government. The salaries of those teachers who prepare the five and six year old children for school are paid from the state budget.

The founder takes the decision on the costs of catering and these costs are different for each local government. Within its administrative territory the local government according to criteria it has accepted may fix the size of discount to parents and does so in practice.

- 2) The parents of the pupils of special education institutions need not make any payments since all expenditures are covered from the state target subsidy and local government budget.
- 3) In private education institutions parents cover all expenses related to stay at school and the mastery of the pre-school education programme.
- 4) Parents whose children attend other education institutions (general schools, interest centres for children and juveniles, etc.) cover the catering costs.

According to the price survey the average payment for one day in childcare institution in 2012 was 0.68 - 1.90 LVL per child (14.28 – 39.90 per month).

Part-time childcare

In local government's institutions parents have to pay only for catering. If child stay in institution only part of day, the payment remains the same. There are different payment rules in private institutions.

7.2 Child-care benefits for formal centre-based care

There are two kinds of child-care benefits in Latvia: earnings related **Parental benefit** for employed (socially insured) persons and flat-rated **Childcare benefit** for unemployed (socially uninsured) persons and persons raising children between 1 to 2 years of age.

7.2.1 Conditions for receipt

Parental benefit in accordance with the Law "On Maternity and Sickness Insurance" for children born until 2 May 2010 was paid to persons who are on child care leave or continued to work during child care period (are not on child care leave) and who are raising children under 1 year of age, if this person has been employed on the day the benefit is granted (is considered to be an employee or self-employed person in accordance with the Law on State Social Insurance). The benefit shall be granted to one of the parents or to the person who has taken guardianship, adoption or foster family's duties of a child. For children born from 3 May 2010 parental be granted only to person caring for a child younger than one year old, who are on child care leave (does not work during child care period).

Childcare benefit in accordance with the Law on State Social Benefits shall be granted to one of the parents or a person who has taken guardianship of a child and who cares for a child:

- 1) if this person is not employed on the day the benefit is granted (is not considered to be an employee or self-employed person in accordance with the Law on State Social Insurance) and is raising child under 1 year of age;
- 2) if this person is raising child between 1 to 2 years of age.

A benefit shall be granted until a child reaches two years of age.

Supplement to the childcare benefit or parental benefit for twins or more children arisen in one confinement provided to persons who receive childcare benefit or parental benefit for twins or more children arisen in one confinement for each forthcoming child.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

The amount of **parental benefit** is 70% of the average gross wages upon which contributions have been paid during 12 months, but not less than LVL 100 (€ 142) per month. This 12-month period shall apply from two months before the month when the parental benefit is granted.

In accordance with amendments adopted in the Saeima on 1st December 2009, amendments adopted in the Saeima on 14 April 2011 and amendments adopted in the Saeima on 15 November 2012 to the law “On state benefits payment during period from the year 2009 till the year 2014” on a temporary basis – until 31 December 2014 parent who is caring for a child born after 2 November 2010 will receive full sum of benefits (maternity, paternity and parental benefit) with a precondition that the benefit’s amount per day is lower or equal to 23,02 LVL. If the amount of the benefit per day is higher than 23,02 LVL, the parent will get full sum of that part of the benefit, which does not exceed 23,02 LVL per day and half (50%) of the sum of that part of the benefit, which exceeds 23,02 LVL per day. Average insurance contribution wage and benefit amount is calculated in accordance with the CM regulations No 270 from July 28 1998 “Average insurance contribution wage calculation procedure and procedure for granting, calculation and payment of state social insurance benefits”.

The average insurance contributions wage for the parental benefit shall be calculated as for other social insurance benefit - from the wage subject to insurance contributions of the insured person for the 12 calendar month period, concluding such period two calendar months prior to the month when an insurable event occurred.

On 1st July 2013 the average amount of parental benefit was 295,33 LVL per month.

The **childcare benefit** is granted in accordance with the Article 7 of the Law on State Social Benefits and the CM Regulations No. 1609 of 22 December 2019 “Regulations regarding the Amount of the allowance for Child Care and supplement to the allowance for Child Care and Parent’s Benefit for the birth of twins or more children born during one delivery, its review, granting and disbursement procedure of the allowance and the supplement”.

The amount of childcare benefit:

- to persons who are not employed and who are raising children under 1 year of age: LVL 100 (€ 142,29) per month;
- to persons who are raising children between 1 to 1.5 years of age: LVL 100 (€ 142,29) per month;
- to persons who are raising children between 1.5 to 2 years of age: LVL 30 (€ 42,69) per month.

The amount of the **supplement** is:

- to persons who are raising children under 1.5 years of age: LVL 100 (€ 142,29) per month for each forthcoming child;
- to persons who are raising children between 1.5 to 2 years of age: LVL 30 (€ 42,69) per month for each forthcoming child.

(in accordance with the Article 7 of the Law On State Social Benefits and the CM Regulations No. 1609 of 22 December 2019 “Regulations regarding the Amount of the allowance for Child Care and supplement to the allowance for Child Care and Parental Benefit for the birth of twins or more children

born during one delivery, its review, granting and disbursement procedure of the allowance and the supplement”).

The benefit calculation formula is unified for all benefit receivers (regardless of part time use).

7.2.2.2 *Income and earnings disregards*

Parental benefit is social insurance benefit, earning related.

Childcare benefit is universal state social benefit, flat-rated and not means or income tested.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Parental benefit is non-taxable, childcare benefit is non-taxable. Parental benefit is not granted for child due to his/her birth has been granted the maternity benefit or childcare benefit for the same period. In turn childcare benefit shall not be granted for children if due to his/her birth a maternity benefit or parental benefit has been granted during the same period of time.

In accordance with amendments to the Law on Maternity and Sickness Insurance adopted in the Saeima by the 16th June 2009 from the 1st January 2010 the payment of parental benefit shall be interrupted, if person in the same time period receives the unemployment benefit.

7.2.4 *Treatment of particular groups*

No special rules.

7.3 **Child care allowance for children not using child care centers**

None

8. Employment-conditional benefits

None

8.1 Conditions for receipt

8.2 Calculation of benefit amount

8.2.1 Calculation of gross benefit

8.3 Tax treatment of benefit and interaction with other benefits

8.4 Benefit duration

8.5 Treatment of particular group

8.5.1 Young persons

8.5.2 Older workers

8.5.3 Others if applicable

9. Lone-parent benefits

- A. State Social Security Benefit
- B. Maintenance Guarantee Fund

9.1 Conditions for receipt

State Social Security Benefit

State social security benefit shall be granted to a child that has not reached the lawful age (18 years), has lost one or both breadwinners (parents) and is not married; the benefit shall be paid to parents of a child, guardian or any other person that actually raises a child. The benefit payments shall be carried on if after reaching the lawful age, a person attends general or professional educational establishments and is not older than 20 or studies at day department (full time education) of any higher educational establishment and is not older than 24. State social security benefit also shall be granted to a person:

- who is not employed (is not considered to be an employee or self-employed in accordance with the Law on State Social Insurance) and has exceeded by five years the age which, in accordance with the Law on State Pensions, has been specified for a person in order for him or her to obtain the right to the old age pension;
- has been recognised as a disabled person and has exceeded the age of 18 years. A State social security benefit shall be granted to these persons for the period of time of the specified disablement.

Admittedly, a State social security benefit shall be granted to a person who does not have the right to receive a State pension (except the pension received by a disabled person for the loss of a provider) or insurance compensation for damages related to an occupational accident or occupational disease.

Maintenance Guarantee Fund

The purpose of Maintenance payment for children is to ensure the implementation of the right of a child to social security. The fund began activity in 1 August 2004 and provides minimum maintenance support for those children, who do not receive it from own parents. Spent money is recovered in regress procedure; it could be even money deduction from parents' pension. The aim of the Maintenance Guarantee Fund is to supply children with the minimum amount of means of subsistence as laid down by the Cabinet of Ministers in those cases when the parents are unable to do so. The Fund will be created using the resources of the state budget, the bailiff's contributions and recourses obtained through retrogression from a person who deliberately avoids paying for the means of subsistence. Means of subsistence (alimony) is granted to children till they reach the age of 18 in the event of their parent's divorce.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

State Social Security Benefit

The amount of state social security benefit is 45 LVL per month in general case, but for children disabled from childhood – 75 LVL. In cases when the benefit is granted to three or more children, the amount shall not be less than 50% from the amount of state social security benefit that is granted to each child.

Maintenance Guarantee Fund

According amendments to Law “Maintenance Guarantee Fund Law” (passed by Saeima on 15/11/2012): starting from 1 January 2013 till 31 December 2013 the amount of payment is 35 LVL (49.80 Euro) for each child until age of 7, each child aged 7-17 years receives 40 LVL ((56.91 Euro), but not more than the amount specified in the court adjudication, as well as not exceeding the amount determined by the Cabinet of Ministers in accordance with Section 179, Paragraph five of the Civil Law.

9.2.1.1 Irregular additional payments

9.2.2 Income and earnings disregards

No disregards, universal benefit.

9.3 Tax treatment of benefit and interaction with other benefits

Non-taxable.

9.4 Benefit duration

See chapter 9.1.

9.5 Treatment of particular group

No special rules.

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

Social State Benefit to Participants of Mitigation of Consequences of Chernobyl NPS or their Family.

9.5.3.1. Condition for receipt

Entitlement to benefit:

- participants of the Chernobyl nuclear clean-up (CNC disabled person), starting from the date, when disability has been stated, if disability is due to Chernobyl nuclear clean-up;
- family members of the deceased participant of the Chernobyl nuclear clean-up (CNC participant) from the date of death of the CNC participant, if the cause of death is due to Chernobyl nuclear clean-up;

Family members of the CNC participant are his children who are not older than 18 (until 24) years if they are full time students of the secondary or higher educational establishment) as well as the survived spouse (who are not intermarry with another person), parents and grandchildren if they had been supported by the deceased.

The amount of the Social State Benefit to Participants of Mitigation of Consequences of Chernobyl NPS or their Family is 60 LVL per month (till 1st January 2009 – 45 LVL per month). Benefit is granted in accordance with the Law “On Social Protection of the Participants of the Rectification of Consequences of the Accident at the Chernobyl Atomic Power Plant and Persons who Suffered due to the Accident at the Chernobyl Atomic Power Plant” and the Cabinet of ministers` regulation.

Non-taxable.

10. Tax system

The tax system consists of state taxes, state fees, local government fees, directly applicable taxes and other obligatory payments set in European Union regulatory enactments, social insurance contributions

Social insurance contributions guarantee security to person in case of old-age, death, unemployment, disability, maternity, sickness, accidents at work and occupational diseases. The basis of compulsory social insurance contributions for the employee is all income from paid work from which personal income tax is to be deducted, without deduction of the non-taxable minimum, tax exemptions and justified expenses for which the taxpayer is entitled to reduce the taxable income.

Salary, pension, income from economic activity (self-employment) are subject to Personal Income Tax.

10.1 *Income tax*

In 2013 personal Income Tax rate is 24%, taxation period – calendar year. The tax shall be calculated and paid into the budget in two ways:

- 1) in advance – payer of the income withholds tax at the source of income and pays it into the budget (from salary, pension, authors fee (royalty), donations in cash and other objects, scholarships, etc.)
- 2) and in accordance with the summary procedures, by submitting an annual income declaration (from income of economic activity and declared deductible expenses).

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

- 1) Amount of basic allowance: in 2013 – 540 LVL per annum (45 LVL per month).
- 2) Non-taxable minimum for pensions:
 - pensions granted in conformity with the law “On State Pensions” before 1 January 1996 are not subject to taxation;
 - for persons to whom a pension is granted or recalculated after 1 January 1996 in conformity with the law “On State Pensions” or long service pension, or special state pension in conformity with Latvia’s laws and regulations, or pension with conformity with foreign states laws and regulations, a taxable minimum is 1980 LVL per annum.
- 3) Tax relief’s:
 - relief on dependants (for each dependant) from July 1, 2013 - 960 LVL per annum (80 LVL per month)
 - relief for disable persons:
 - I and II invalidity group in 2013 - 1296 LVL per annum (108 LVL per month);
 - III invalidity group in 2013 - 1008 LVL per annum (84 LVL per month);
 - Additional relief for politically repressed persons in 2013 - 1296 LVL per annum (108 LVL per month).

The taxpayer can apply relief on following dependants:

- for a minor child and for a child while he or she continues the acquisition of a general, professional, higher or special education, but not longer than until reaching 24 years of age;
 - for an unemployed spouse;
 - for unemployed parents and grandparents;
 - for a grandchild or a child taken for raising while he or she continues the acquisition of a general, professional, higher or special education, but not longer than until reaching 24 years of age, if it is impossible to recover the allowance (alimony) from the parents of the child;
 - for a brother, sister who is under the age of 18 years, if they do not have parents who are able to work;
 - for the dependants of the dependent persons;
 - for a person under guardianship or trusteeship of the payers.
- 4) Deductible expenses:
 - Social security contributions paid by individual;

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- Contributions into private pension funds or life insurance (accrual) premiums not exceeding 10% of taxpayer gross income;
- Health care and education expenses - 150 LVL per year;
- Planned operations and dentistry expenses;
- Charitable donations (not exceeding 20% of taxable income).

10.1.1.2 *Standard tax credits*

10.1.2 *Income tax schedule (central government income tax)*

10.1.3 *State and local income taxes*

10.2 ***Treatment of family income***

Latvia has not household taxation or joint taxation for spouse; taxpayer pays personal income tax individually.

10.3 ***Social security contributions and payroll taxes***

10.3.1 *Contributions payable by employees and benefit recipients*

In 2013 the rate of compulsory social insurance contribution if the employee is insured for all social insurance kinds is 35,09% of wage before taxation, where the employer pays 24,09% and the employee – 11%. Social insurance contribution covers:

- state pensions insurance – 26,60%
- unemployment insurance – 1,48%
- occupational accident insurance – 0,42%
- disability insurance – 3,37%
- maternity and sickness insurance – 2,28%
- parental insurance – 0,94%.

Individuals are insured and social insurance contribution payments are made in respect of those risks that may actually affect them. Therefore, the rate of social insurance contribution for special categories of payers has been reduced, excluding certain types of insurance. For the period of **1 January 2009 till 31 December 2013** the maximum object of social payments **is not set** (that is, during that period of time persons have to make the social insurance payments from all their income of job), but minimum amount for the self employed persons and for persons who joined social insurance voluntary – 2 400 LVL per year.

The personal income tax (24%) is calculated from the gross wage from which the employee's contribution part has been deducted. The non-taxable minimum, tax concessions and eligible expenses for which the taxpayer has the right to reduce the taxable income are applicable.

10.3.2 *Contributions payable by employers*

An employee shall make social insurance contributions through his or her employer. The employer shall deduct the contributions to be made by the employee and pay them into a special budget account.

Employer calculates social insurance contributions of the employee by multiplying the work income by the rate of social insurance contributions of the employee. Employer's social insurance contributions employer

calculates by multiplying the work income by the rate of social insurance contributions of the employer. Total calculated social insurance contributions acquired by summing up the social insurance contributions of the employee and the social insurance contributions of the employer.

For example, if an employee's gross wage is 200 LVL, the employer makes the following calculation: he multiplies the contribution base by the contribution rate set for the employer ($\text{LVL } 200 \times 24.09\% = \text{LVL } 48.18$). He also calculates the part of contributions to be made by the employee by multiplying the contribution base by the contribution rate set for the employee ($\text{LVL } 200 \times 11\% = \text{LVL } 22$). Total sum of contributions payable is calculated by adding together the employers and employee's part ($\text{LVL } 48.18 + \text{LVL } 22 = \text{LVL } 70.18$ per month).

10.3.3 *Payroll taxes*

In accordance with the law *On Protection of Employees in Case of Employer's Insolvency* employers who according to law can be announced as bankrupt shall pay entrepreneurship risk state duty into the Employee Claims Guarantee Fund to satisfy employees claims in the event of the insolvency of enterprise. The holder and manager of the resources of the Employee Claims Guarantee Fund shall be the State agency "Insolvency Administration". From the Employee Claims Guarantee Fund the following claims may be covered:

- 1) work remuneration for the last three months of the employment relationship during 12 months before entering insolvency;
- 2) reimbursement for annual paid leave (holiday payment) which an employee became entitled to receive within 12 month period before entering insolvency;
- 3) reimbursement for other types of paid absence within the last three months of the employment relationship during the 12 months before entering insolvency;
- 4) severance pay in minimum statutory amount stated by the law;
- 5) reimbursement for damages for the whole unpaid period;
- 6) reimbursement for damages to be paid for four subsequent years ahead

After the approval of the amount to be paid for the satisfaction of the employee claims, the Insolvency Administration shall transfer the mandatory State social insurance contributions, personal income tax and reimbursement for damages for the four subsequent years to the budgets specified in regulatory enactments, but shall transfer the amounts to be paid out to employees to the administrator into the account of the insolvent employer for further payment to the employees.

In 2013 the monthly value of duty is 0.25 LVL per payroll employee (self-employed persons are not covered).

10.4 *Treatment of particular group*

10.4.1 *Young persons*

None

10.4.2 *Older workers*

Employees who have reached the retirement age make social insurance contribution payments for pensions insurance, occupational accident insurance, maternity and sickness insurance, parental insurance and the insurance contribution rate is 30,13% in 2013.

10.4.3 *Others if applicable*

For example, for self-employed persons the insurance contribution rate is 32,17% in 2013 and they make social insurance contribution payments for pensions insurance, disability insurance, maternity and sickness insurance, parental insurance.

11. **Part-time work**

Labour Law determines, that employer and employee may agree in an employment contract on part-time work that is shorter than the regular daily or weekly working time.

An employer shall determine part-time work if requested by a pregnant woman, a woman for a period following childbirth up to one year, but if the woman is breastfeeding then for the whole period of breastfeeding, as well as by an employee who has a child less than 14 years of age or a disabled child under 18 years of age.

The same provisions, which apply to an employee who is employed for regular working time, shall apply to an employee who is employed part-time.

Refusal by an employee to change over from regular working time to part-time or vice versa may not of itself serve as a basis for a notice of termination of an employment contract or restriction of the rights of an employee in any other way. This provision shall not restrict the right of an employer to give a notice of termination of an employment contract if such notice is adequately substantiated with the performance of urgent economic, organisational, technological or similar measures in the undertaking.

An employer shall, at the request of an employee, transfer the employee from regular working time to part-time or vice versa if such possibility exists in the undertaking.

An employer shall inform employee representatives regarding the possibility of employing employees part-time in the undertaking if the employee representatives request such information.

11.1 ***Special benefit rules for part-time work***

There are no special benefit rules for part-time workers.

11.2 ***Special tax and social security contribution rules for part-time work***

None

12. **Policy developments**

12.1 ***Policy changes introduced during 2013 (since July 1st 2012 till July 1st 2013)***

Starting from 1st January 2013 the length of the unemployment benefit was prolonged for the period of 9 months for all unemployed thus the benefit payment period was extended for the unemployed with the social insurance record from 1 to 19 years (for which, especially long-term unemployed, the payment at the period of 4 or 6 months was not sufficient for the reintegration in the labour market).

The unemployment benefit is disbursed in the following amount depending on duration of the unemployment:

- first 3 months of unemployment: 100% of the granted benefit;
- from 4-6 months of unemployment: 75% of the granted benefit;

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- from 7-9 months of unemployment: 50% of the granted benefit.

Starting from 1st January 2013 the minimum amount of parental benefit is 100 LVL and temporarily, between 3 November 2010 and 31 December 2014, the part of parental benefit (for persons taking care of a child born after 2 November 2010) which exceeds LVL 23,02 per calendar day is paid at half rate (till 31 December 2012 the part of parental benefit which exceeds LVL 11,51 per calendar day was paid at half rate) .

Starting from 1st January 2013 the amount of childcare benefit:

- to persons who are not employed and who are raising children under 1 year of age: LVL 100 per month;
- to persons who are raising children between 1 to 1.5 years of age: LVL 100 per month;
- to persons who are raising children between 1.5 to 2 years of age: LVL 30 per month.

But the amount of the **supplement to parental benefit or childcare benefit** is:

- to persons who are raising children under 1.5 years of age: LVL 100 per month for each forthcoming child;
- to persons who are raising children between 1.5 to 2 years of age: LVL 30 per month for each forthcoming child.

From the 1st January 2013 the amount of the supplement for twins or more children arisen in one confinement was increased for those raising children under 1 and a half years of age to 100 LVL (€ 142,29) per month.

12.2 *Future policy changes announced since 1st July 2013*

Concerning the **childcare for pre-school children** starting from 1st September 2013 financial state support is provided for pre-school children registered in waiting lists of pre-school institutions.

Support is available for parents who need child care support for their children aged 1 and a half to 4 years who are not benefiting from public childcare (as from age of 5 years the municipalities have a legal obligation to provide primary education to children). The monthly amount of state support for full time service is up to 100 LVL (€ 142,29) with meeting the condition that total of state and municipal support (most municipalities already provide some support towards addressing such situations) per one child does not exceed: 160 LVL (€ 227,66) in Riga planning region or 130 LVL (€ 184,97) outside Riga planning region. The state funding in 2013 is 3,2 mill. LVL (€ 4,5 mill.).

The purposeful financing will be provided for three years – till the end of 2015 in order to solve the problem of long waiting lists for public kindergarten registration and help parents to return to work at the same time providing safe conditions for the child. The co-funding of the state and the co-funding paid by the local government to the child summed together should be able to decrease parents' expenditures for attendance of private kindergarten or child-minders service.

In 2013 it will be provided assistants in educational institutions for 1st and 2nd group disabled children not only of age 7 to 18, but also of age 5 and 6. The initiative will ensure the reduction of teachers burden and actively promote the inclusive education principles in pre-school education. Total funding for all of these groups in support of 845 796 LVL.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.